Atlantic Computer Case Report - Group D

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MBA645: Marketing Decision Making

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October 26, 2025

Introduction Summary

The Atlantic Computer case focuses on Jason Jowers, a new product manager responsible for setting a price for the company's new product package called the Atlantic Bundle, which includes the Tronn server and the PESA software. Atlantic has always been strong in the high-performance server market, but now it wants to enter the fast-growing basic server segment led by Ontario Computer's low-cost Zink servers. The Tronn with PESA can run up to four times faster than a regular basic server, saving customers money through fewer server purchases and lower energy and labor costs. Jowers must find a pricing plan that shows the value of this performance boost while staying competitive and fitting Atlantic's business traditions.

Primary issue

The main issue is how to price the Tronn and PESA bundle in a way that attracts new customers but still earns fair profit for Atlantic. The company has always used cost-plus pricing and often gave software tools away for free. Doing that again could make customers undervalue the PESA, even though it clearly provides major performance and cost advantages. Jowers must decide whether to stick with the old cost-plus model or use a value-based approach that charges based on how much money customers save. This decision affects not only short-term sales but also how Atlantic is viewed in the basic server market. If priced too low, the company risks missing out on profit and appearing cheap; if priced too high, it could scare off cost-sensitive buyers. Jowers must find a middle ground that communicates real value while helping Atlantic compete effectively with Ontario's low-cost servers and build trust with new customers.

Secondary issue

Another issue is how Atlantic will adjust internally to support a new pricing and sales approach. The sales team, used to focusing on hardware, may not know how to present or sell the value of the PESA software. Leadership opinions also differ, making it harder to reach agreement on how to move forward. Ontario Computer is likely to respond aggressively to any new pricing strategy, forcing Atlantic to clearly justify its higher price. Beyond pricing, Jowers also has to think about how to train the sales force and convince management to back a new way of selling that blends hardware and software value. The company's culture and traditions could slow down this shift, making it difficult to change old habits. To succeed, Atlantic must not only choose the right price but also learn how to sell performance, savings, and customer benefits rather than just physical products.

Situation and Positioning

Atlantic's been making top-notch, dependable servers for ages, plus their support is great. Ontario's all about cheap, basic servers you can grab online they run a tight ship. Tronn's trying to get into that basic server market too. PESA speeds up those repetitive tasks like web stuff and file sharing. So, a Tronn with PESA can handle the load of several regular basic servers.

Basically, it's meant to be a cost-effective, solid option for small and medium businesses wanting to save cash and get reliable performance.

Alternatives

Jason Jowers evaluated four possible pricing strategies for the Atlantic Bundle, each carrying different risks and opportunities for Atlantic's entry into the basic server market. The first option, Status Quo Pricing, followed Atlantic's tradition of giving software away for free and charging only for hardware. This would make selling easier and keep customers comfortable but would undervalue the PESA software and cause Atlantic to lose significant revenue despite its strong performance advantage. The second alternative, Competition-Based Pricing, suggested setting the price equal to four Ontario Zink servers ($6,800), which would let customers easily compare performance and price. However, this would still undervalue PESA's benefits and reduce Atlantic to competing mainly on price, rather than emphasizing its innovation. The third approach, Cost-Plus Pricing, involved covering PESA's $2 million development cost with a 30% markup, producing a total bundle price of about $4,490. While straightforward and internally justifiable, it ignored the software's market value and the customer's potential savings. The final and most strategic option, Value-in-Use Pricing, set the price based on shared customer savings from owning fewer servers, lower energy and license costs, and reduced labor expenses, estimated at $9,400 per year. By sharing these savings equally with the customer, Jowers could justify an $8,700 bundle price that truly reflected the product's performance and total cost advantage.

Qualitative Summary

From a qualitative standpoint, the Value-in-Use Pricing strategy best aligns with Atlantic's goal of entering the basic server market as a performance driven, customer focused brand. The Status Quo and Cost-Plus options might maintain internal comfort and ease of selling, but they fail to capture or communicate PESA's real value. Competition-Based pricing could attract attention but risks turning Atlantic into another low-cost competitor rather than a differentiated innovator. In contrast, Value-in-Use pricing shifts the company's mindset from cost recovery to value creation. It demonstrates to customers that Atlantic understands their operational challenges and can deliver measurable savings. Though this approach requires a cultural shift training the sales force, adjusting incentives, and overcoming management hesitation it sets a strong foundation for long-term competitiveness. By focusing on customer outcomes rather than price tags, Atlantic can strengthen its brand credibility, support sustainable profitability, and redefine its market position from a traditional hardware vendor to a complete solutions provider.

Quantitative Analysis: Three-Year Revenue Implications

Assumptions:

- Atlantic market share (units): 4% (2001), 9% (2002), 14% (2003)
- PESA attach rate: 50%

- Market volumes: 50,000 (2001), 70,000 (2002), 92,000 (2003)

Units with PESA:

- 2001: 50,000 × 4% × 50% = 1,000 units
- 2002: 70,000 × 9% × 50% = 3,150 units
- 2003: 92,000 × 14% × 50% = 6,440 units
- Total: 10,590 units

Revenue Comparison:

Strategy	Price per PESA	Total 3-Year PESA Revenue	Vs. Status Quo
Status-Quo	$0	$0	Baseline
Cost-Plus	$245.51	$2,600,000	+$2.6M
Competition-Based	$1,400	$14,826,000	+$14.8M
Value-In-Use	$400	$4,236,000	+$4.2M

Competition-based: ($6,800 - $4,000) ÷ 2 = $1,400 per server

Conservative Revenue Analysis (Value-In-Use): If we price PESA more aggressively to capture more value while remaining attractive:

- Using $1,000 per PESA (50% of full operational savings):
- Three-year PESA revenue: 10,590 × $1,000 = $10,590,000

This way, we're looking at an extra $10.6 million in sales compared to just giving PESA away. It's a win for customers too.

Recommendations

Several recommendations arise to ensure the successful adoption of the Value-in-Use pricing model. Atlantic should first focus on building a strong value communication framework that clearly illustrates the measurable benefits customers gain from the Tronn and PESA bundle. Developing customer-facing tools that quantify cost savings in electricity, licensing, and labor would make the value proposition tangible and persuasive. Case studies from early adopters such as DayTraderJournal.com could serve as practical demonstrations of the bundle's fourfold performance advantage and cost efficiency. Equally important is preparing the sales team for the shift toward value-based selling. Since this approach departs from Atlantic's traditional hardware-focused model, Jason Jowers and Jairo Cadena should lead comprehensive training to equip sales representatives with the skills to communicate long-term cost savings and respond effectively to objections about paying for software. Regular feedback sessions and role-playing

exercises would help the team internalize the new strategy and maintain consistency in messaging. To minimize risk, Atlantic should pilot the pricing model among small and medium-sized enterprises before its broader rollout. Testing different price points within the $400–$1,000 range for PESA could help identify the optimal balance between customer acceptance and revenue maximization. Offering limited performance-based guarantees during the initial phase would also build trust and reduce buyer hesitation. Marketing efforts should emphasize performance, reliability, and total cost savings rather than upfront price. Rebranding the offering as a high-performance solution, perhaps under a name such as "The Atlantic Advantage," would reinforce the company's shift toward customer-centric innovation. Coordinated messaging between marketing, sales, and R&D will be vital in ensuring that every touchpoint communicates the same value narrative. Finally, Atlantic should establish a set of metrics to evaluate success and manage risks. These include tracking bundle sales, customer satisfaction, conversion rates from trade show leads, and profit margins per sale. Feedback from both customers and the salesforce will offer valuable insights for refining pricing and communication strategies. Over time, Atlantic can extend value-based pricing principles to other product lines and leverage customer data to refine its models further.

By implementing these recommendations, Atlantic Computer can transition smoothly from a traditional cost-recovery mindset to a value-creation approach that captures both market share and customer trust. This foundation will strengthen the company's long-term competitiveness and position it as a leader in delivering performance-based solutions in the basic server market.

Implementation of Recommendations

What: Atlantic Computer should implement a value-in-use pricing strategy for the Tronn server bundled with the PESA software. This means pricing the bundle based on the measurable value it provides customers compared to competitors specifically, the cost savings realized when customers purchase fewer servers and incur lower electricity, licensing, and labor costs. Rather than following the traditional cost-plus or free software approach, Atlantic should charge for both the hardware and the PESA tool, emphasizing the fourfold performance advantage and total ownership savings.

Where: The strategy should be rolled out across the basic server market segment, targeting small to medium-sized enterprises (SMEs) such as DayTraderJournal.com that rely on web hosting or file-sharing applications. These businesses gain the most from performance optimization and cost savings. The approach will first be introduced at the SME Systems Solutions Trade Show, where Atlantic can gather real time customer reactions before scaling the pricing model nationwide.

Who: Implementation will be led by Jason Jowers, under the supervision of Chris Matzer, with collaboration from Harry Fowler (marketing), Emily Jones (R&D), and Jairo Cadena (sales). The sales force will play a key role in communicating the bundle's value. To ensure effectiveness, Cadena's team will need training to shift their mindset from a hardware selling approach to a value-based selling approach that highlights long term cost savings rather than short term price comparisons.

When: The pricing model and supporting sales strategy should be finalized before the November trade show, as this event serves as the first test of customer response. Following the trade show, the feedback should be analyzed, and adjustments made to the communication strategy and price structure. The full rollout can then occur within the next fiscal quarter as Atlantic ramps up production of the Tronn servers.

How:

1. **Pricing Analysis and Communication** – Use value in use calculations to demonstrate how customers save through reduced server purchases and operational costs. Develop clear visuals and examples (like the DayTraderJournal.com comparison).
2. **Salesforce Training** – Conduct workshops and role-play exercises to teach the team how to explain the benefits of the PESA and handle customer objections to paying for a software tool.
3. **Marketing and Promotion** – Position the "Atlantic Bundle" as a performance-based solution rather than a cost-based product. Marketing materials should emphasize total cost savings, reliability, and performance superiority over Ontario's Zink servers.

Risks and Metrics:

One of the main risks in implementing this strategy is customer resistance to paying for software tools that have traditionally been free in the industry. Additionally, the sales team's adjustment to a value-based approach may initially slow adoption and cause confusion during the transition. Competitor reactions, especially price cuts from Ontario Computer, could also pressure Atlantic to justify its higher pricing structure. To manage these risks, Atlantic should track key performance metrics such as bundle sales volume, customer satisfaction, and conversion rates from trade show leads. Monitoring average revenue per sale and profit margins will help determine whether the value in use pricing is effectively capturing additional value. Feedback from the sales team and customer surveys can also provide insight into resistance points, guiding further adjustments in pricing and communication strategies.

Reference

Bharadwaj, N., & Gordon, J. B. (2007). ***Atlantic Computer: A bundle of pricing options*** **(Case No. 2078). Harvard Business School Publishing.**